rule of taking life insurance cover of 10 times our annual income to using calculations that factor in financial goals, existing insurance and other financial needs that may arise when taking an insurance cover. Financial advice is no more general, it is specific and has more to do with personal than finance. The four pillars of financial planning—assets, debts, income and expenses—are getting complex.

THINK ABOUT AN EVOLVING FINANCIAL LIFE WHICH INCLUDES STAGES SUCH AS CHANGING CAREER, RAISING A FAMILY ETC.

For instance, today when you are servicing a home loan, you also have the convenience to borrow a percentage against the money you have repaid on the loan. Basically, an asset which you don't fully own could also be used as collateral to borrow against. Likewise, spending through an app or card often refunds you in the form of cashback, which is nothing but indirectly creating income on expenses. These are some examples of how complex financial planning can become.

The influence of technology in financial advice is making financial advice accessible, but with access also comes the difficulty of being disciplined. For instance, every time one sees the worth of their investments rise, they tend to cash it to satisfy a financial wish. Technology is also creating a web of complex financial solutions which are difficult to understand. Take for instance a simple UPI (Unified Payments Interface)payment, it is convenient, fast and less stressful than carrying cash. Now imagine if you used the UPI 10 times a day at various places, it is not a straightforward tracking history about which merchant you paid for what service or product. You have to check the UPI tracking number to know what you spent on. The convenience of a wallet on you comes with the responsibility to control your spending. DIY financial advice is another aspect which offers you the option to manage your finances on your own. However, not all of us are capable of handling financial decisions such as investing or borrowing on our own.



↘ DYNAMIC FINANCIAL PLANNING

The belief that financial planning is all about creating an emergency fund, taking life and health insurance, planning for retirement and estate planning is wrong. These are all just contours of financial planning. It is no more about compartmentalising saving, spending, investing and protection. Financial planning is all about how each financial decision you make impacts your overall financial goals. Think of the impact of contributing

THE CROREPATI FIXAT

A dream that many Indians live with is to become a crorepati. Such was the fascination for this figure that the British TV game show, *Who Wants to Be a Millionaire?* was made into *Kaun Banega Crorepati (KBC)* in India to play on the magic figure. The iconic show has made the figure of a crore seem achievable and now many people wish to know what it will take for them to become a crorepati, even as many others wish to know if a crore is a good sum to retire with. Yes, Rs 1 crore is a big amount, especially when many of us are barely able to save a few thousands each month.

But, with discipline and risk-taking, achieving a corpus of a crore is within reach. Let us take the case of 30-year-old Rakesh, who wishes to accumulate Rs 1 crore by the time he is 50 years old. He could easily reach this target by investing Rs 13,060 each month for the next 20 years in an instrument earning 10 per cent returns. Now, if Rakesh had started to work on this target five years earlier, he would have needed Rs 7,474 each month, earning the same returns. A delay of just five years nearly doubles what he should save each month now.

Likewise, if he had delayed to start saving for this target by five years, he would need Rs 23,927 each month (see *Target Rs 1 crore*). The essence of this example illustrates the need and advantage to start saving early to reach a desired financial goal. So, Rs 31.3 lakh invested over two decades becomes Rs 1 crore. However, these figures don't factor in inflation. If we assume an inflation of 5 per cent, to reach the target in 20 years, Rakesh would need to invest Rs 24,906 each month, which is a rise of Rs 11,846 each month or an additional Rs 28.43 lakh over the two decades.

The impact of inflation should be understood with the fact that what Rs 1 crore is today is not going to be the same 10 or 20 years from now. Going with the same example: suppose Rakesh has Rs 1 crore with him today, its worth would be Rs 35.8 lakh when he turns 50 and just Rs 12.85 lakh when he is 70 years old (see *Value of Rs 1 crore over time*). The drop in

SHRINKFLATION IS A CONCEPT OF MAKING YOU BELIEVE THAT YOU AREN'T PAYING MORE, BUT IN REALITY YOU GET A LOT LESS FOR THE SAME PRICE OVER TIME